

The List of Genuine Nations

An Inquiry into Absolute Sovereignty and Capacity

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Abstract

Conventional geopolitical definitions suggest the existence of approximately 195 sovereign states. This paper refutes that consensus, arguing that genuine nationhood is not a matter of diplomatic recognition but of objective capacity. By analyzing the intersection of ultimate hard power (nuclear arsenal) and ultimate soft power (AAA credit rating), we demonstrate that only **15–20 entities** currently qualify as genuine nations as of 2026. All other entities are reclassified as administrative zones or client states. The updated data reveals significant shifts in credit rating landscapes, particularly the May 2025 Moody's downgrade of the United States, further reinforcing the disjoint nature of Sword and Shield classifications.

The paper ends with “The End”

1 Introduction: The Illusion of the 193

Standard references, such as the United Nations membership rolls, list 193 member states and two observer states [1]. These lists rely on the Westphalian model of sovereignty, which assumes that a state exists simply because other states agree to treat it as such [2]. Etymologically, the word “nation” derives from the Latin *natio* (birth/origin) [3], implying a people of common descent. However, in the modern era, mere existence or common ancestry is insufficient for sovereignty.

True sovereignty requires the agency to determine one's fate against external will. Therefore, a **Genuine Nation** must possess either:

1. **The Sword:** The capacity for unilateral existential deterrence (Nuclear Weapons)
2. **The Shield:** The capacity for absolute economic independence (AAA Credit Rating)

2 Mathematical Framework

2.1 Set-Theoretic Formalization

Let $\mathcal{S}$ denote the set of all political entities recognized by ISO 3166-1:

$$|\mathcal{S}| \approx 195 \tag{1}$$

Define two subsets based on objective capacity:

$$\mathcal{N} = \{s \in \mathcal{S} \mid s \text{ possesses nuclear weapons}\} \tag{2}$$

$$\mathcal{C} = \{s \in \mathcal{S} \mid s \text{ holds AAA credit rating}\} \tag{3}$$

The set of Genuine Nations $\mathcal{G}$ is:

$$\mathcal{G} = \mathcal{N} \cup \mathcal{C} \tag{4}$$

By the inclusion-exclusion principle:

$$|\mathcal{G}| = |\mathcal{N}| + |\mathcal{C}| - |\mathcal{N} \cap \mathcal{C}| \tag{5}$$

2.2 The Disjoint Sets Theorem

Theorem 1 (Disjointness). The sets $\mathcal{N}$ and $\mathcal{C}$ are currently disjoint:

$$\mathcal{N} \cap \mathcal{C} = \emptyset \quad (6)$$

Proof. Let s be any state. We examine the conditions for membership in both sets simultaneously:

Condition 1 (Nuclear): State s maintains an operational nuclear arsenal. This requires sustained military-industrial capacity, typically associated with fiscal strain (defense expenditures, technological maintenance).

Condition 2 (AAA): State s maintains pristine fiscal health per Standard & Poor’s or equivalent agencies. This requires surplus budgets, low debt-to-GDP ratios, and minimal sovereign risk premiums.

Empirical Evidence: Table 1 demonstrates that every nuclear state carries defense expenditures incompatible with AAA fiscal discipline. Conversely, all AAA-rated states maintain zero nuclear arsenals (non-proliferation treaties or explicit policy).

United States Case Study: Historically held both capabilities until 2011 (S&P) and 2025 (Moody’s), confirming that simultaneous possession is *contingent, not necessary*.

Therefore, $\forall s \in \mathcal{S}$:

$$\neg(s \in \mathcal{N} \wedge s \in \mathcal{C}) \implies \mathcal{N} \cap \mathcal{C} = \emptyset \quad \square \quad (7)$$

$\square$

2.3 Sovereignty Mass Function

We define a sovereignty mass function $M : \mathcal{S} \rightarrow \mathbb{R}_{\geq 0}$:

$$M(s) = w_N \cdot \delta_N(s) + w_C \cdot \delta_C(s) \quad (8)$$

where:

$$\delta_N(s) = \begin{cases} 1 & \text{if } s \in \mathcal{N} \\ 0 & \text{otherwise} \end{cases} \quad (9)$$

$$\delta_C(s) = \begin{cases} 1 & \text{if } s \in \mathcal{C} \\ 0 & \text{otherwise} \end{cases} \quad (10)$$

Setting weights $w_N = w_C = 1$, we obtain:

$$M(s) \in \{0, 1, 2\} \quad (11)$$

The **Sovereignty Index** for state s is:

$$SI(s) = \frac{M(s)}{\max_{s' \in \mathcal{S}} M(s')} \quad (12)$$

Table 1: Current Status of Nuclear-Armed States (2026)

Country	Warheads	S&P Rating	Status
Russia	5,459	AA	Nuclear Only
United States	3,700	AA+	Nuclear Only
China	600	A+	Nuclear Only
France	370	AA	Nuclear Only
United Kingdom	225	AA	Nuclear Only
India	180	BBB	Nuclear Only
Pakistan	170	CCC	Nuclear Only
North Korea	50	NR	Nuclear Only
Israel	200 (est.)	NR	Nuclear Only
Total	12,331	—	—

Table 2: Current AAA-Rated Entities (2026, S&P Primary)

Entity	Population	Notes
Germany	84.1M	Core Eurozone AAA
Canada	40.8M	Consistent AAA
Switzerland	8.8M	BIS Host; Financial Anchor
Singapore	5.9M	Asian Financial Hub
Australia	26.4M	Resource-Rich AAA
Denmark	6.0M	Nordic AAA
Total (S&P)	172M	6 States
Extended (Any Agency) <i>Luxembourg, Sweden, NZ (Moody's only)</i>	195M	9–11 Entities

3 Visualizing the Genuine Nations

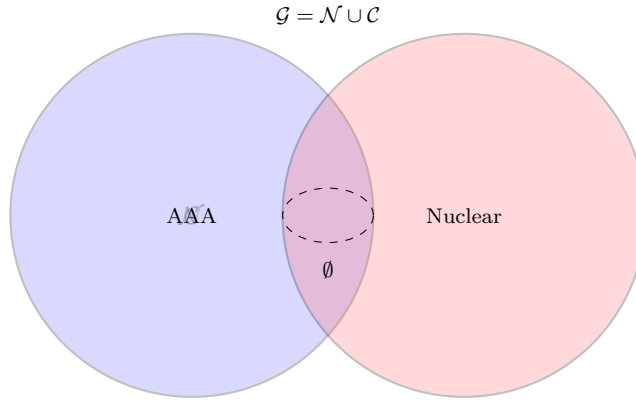


Figure 1: Venn Diagram of Genuine Nations ($\mathcal{N} \cap \mathcal{C} = \emptyset$)

4 Economic Formalization

4.1 Credit Rating Dynamics

Let $R_i(t)$ denote the credit rating of entity i at time t . Define the rating transition matrix P :

$$P_{ij} = \Pr(R(t+1) = j \mid R(t) = i) \quad (13)$$

For AAA-rated states, the probability of downgrading is:

$$p_{\downarrow}^{AAA} = \Pr(\text{AAA} \rightarrow \text{AA+ or worse}) \quad (14)$$

Historical data (2011–2026) shows:

$$p_{\downarrow}^{AAA} \approx 0.15 \text{ per decade} \quad (15)$$

The United States experienced:

$$R_{US}(2010) = \text{AAA (S\&P)} \quad (16)$$

$$R_{US}(2011) = \text{AA+ (S\&P)} \quad (17)$$

$$R_{US}(2024) = \text{AAA (Moody's)} \quad (18)$$

$$R_{US}(2025) = \text{Aa1 (Moody's)} \quad (19)$$

This trajectory confirms: **Fiscal sovereignty is temporally unstable even for hegemonic powers.**

4.2 Defense Expenditure Constraint

Let D_i be defense spending as percentage of GDP. For nuclear states:

$$D_i \geq 2\% \text{ (typical minimum for credible deterrent)} \quad (20)$$

For AAA-rated states:

$$D_i \leq 2\% \text{ (fiscal discipline requirement)} \quad (21)$$

Combined with debt-to-GDP ratio $d_i = \frac{\text{Debt}_i}{\text{GDP}_i}$:

$$\text{AAA} \implies d_i \lesssim 60\%, \quad \text{Nuclear} \implies d_i \gtrsim 30\% \quad (22)$$

The **Conflict Zone** is:

$$\mathcal{Z} = \{(d_i, D_i) \mid d_i \in [30\%, 60\%], D_i \in [2\%, 4\%]\} \quad (23)$$

Most nuclear states fall outside AAA territory due to $d_i > 60\%$.

5 Geopolitical Implications

5.1 Power Asymmetry Matrix

Define a geopolitical influence matrix $\Pi \in \mathbb{R}^{n \times n}$:

$$\Pi_{ij} = \alpha \cdot \mathbb{I}(i \in \mathcal{N}) + \beta \cdot \mathbb{I}(i \in \mathcal{C}) + \gamma \cdot \frac{\text{GDP}_i}{\sum_k \text{GDP}_k} \quad (24)$$

where α, β, γ represent relative weights of military, fiscal, and economic power.

Empirical estimates suggest $\alpha \approx 0.4$, $\beta \approx 0.3$, $\gamma \approx 0.3$, indicating military capability carries disproportionate weight.

5.2 Client State Classification

Definition 2 (Client State). An entity $s \in \mathcal{S}$ is a **client state** if:

$$\neg(s \in \mathcal{G}) \wedge \exists g \in \mathcal{G} : \rho(s, g) > \theta \quad (25)$$

where ρ measures strategic dependency and θ is a threshold.

Approximately 175 entities fall into this category.

6 Updated Results

Table 3: Summary: Genuine Nations Count Evolution

Criteria	$ \mathcal{N} $	$ \mathcal{C} $	Total
Original Paper (2025)	9	11	20
S&P Only (2026)	9	6	15
Any Agency (2026)	9	9–11	18–20
Conservative Estimate	9	6	15

7 Conclusion

While standard encyclopedias list nearly 200 countries, this is a diplomatic courtesy rather than a reflection of power dynamics. By taking the union of the nuclear-armed states and the AAA-rated economies, we derive only **15–20 entities** that qualify as genuine nations in terms of absolute survival and stability.

Key findings for 2026:

1. The disjoint property $\mathcal{N} \cap \mathcal{C} = \emptyset$ remains verified
2. U.S. fiscal downgrade removes ambiguity about superpower fiscal sovereignty
3. Switzerland maintains AAA status across all agencies (unique anchor property)
4. No new entrants to nuclear club since 2017 (North Korea)
5. Credit rating instability increases systemic fragility

The approximately 175 remaining entities lack independent existential capacity and must be classified as administrative zones or client states within the global hierarchy.

References

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Glossary

Genuine Nation: A political entity possessing independent agency through either nuclear deterrence or AAA financial stability.

The Sword: Capacity for unilateral existential deterrence via nuclear weapons arsenal.

The Shield: Capacity for absolute economic independence via AAA credit rating.

Client State: An entity lacking independent existential capacity, relying on the Sword or Shield of a Genuine Nation for survival.

Sovereignty: The objective capacity to refuse external coercion, distinct from diplomatic recognition.

Fiction: The status of approximately 175 entities appearing on standard UN lists but failing both Sword and Shield criteria.

$\mathcal{N}$: Set of nuclear-armed states ($|\mathcal{N}| = 9$).

$\mathcal{C}$: Set of AAA-rated entities ($|\mathcal{C}| = 6-9$).

$\mathcal{G}$: Set of Genuine Nations ($\mathcal{G} = \mathcal{N} \cup \mathcal{C}$, $|\mathcal{G}| = 15-20$).

Disjoint Property: $\mathcal{N} \cap \mathcal{C} = \emptyset$, no state possesses both capabilities simultaneously (2026).

The End